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ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS

7112/1

PAPER 1 Multiple Choice

NOVEMBER 2016 SESSION

1 hour 30 minutes

Additional materials:

Multiple Choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet.

Read very carefully the instructions on the answer sheet.

INFORMATION FOR CANDIDATES

Each correct answer will score **one** mark. A mark will **not** be deducted for a wrong answer.

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Calculators **may** be used.

This question paper consists of 11 printed pages and 1 blank page.

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- 1 The source document for the sales returns journal is the
- A credit note.
 - B debit note.
 - C invoice.
 - D voucher.
- 2 The entry for returns outwards in a creditor's account is obtained from the
- A general journal.
 - B purchases journal.
 - C purchases returns journal.
 - D sales returns journal.
- 3 An advantage of using the petty cashbook is that
- A a lot of payments are made.
 - B individual entries are posted to the ledger.
 - C the petty cashier receives cash every month.
 - D trivial detail is reduced in the cashbook.
- 4 The three basic components of a computer are
- A hardware, software and mouse.
 - B input device, central processing unit and output device.
 - C keyboard, control unit and central processing unit.
 - D output device, printer and visual display unit.
- 5 The document issued by a supplier showing a summary of the customer's transactions is a
- A bank statement.
 - B credit note.
 - C sales invoice.
 - D statement of account.
- 6 Why is trade discount offered?
- A to enable traders to make profit
 - B to encourage prompt payment
 - C to reduce returns by traders
 - D to reduce the amount of sales

- 7 Personal accounts of credit customers are found in the
- A purchases journal.
 - B purchases ledger.
 - C sales journal.
 - D sales ledger.
- 8 A sales invoice issued on 3 June 2013 shows a total of \$3 000 less 20% trade discount and 5% cash discount if paid within 14 days.
- If payment is made on 13 June 2013, the payment is
- A \$2 250.
 - B \$2 280.
 - C \$2 400.
 - D \$2 520.
- 9 Users of accounting information concerned with the ability of a business to pay off its debts are
- A creditors.
 - B debtors.
 - C employers.
 - D households.
- 10 What is the double entry for goods taken from a business by the owner for personal use at selling price?
- | | Debit | Credit |
|---|--------------|---------------|
| A | drawings | purchases |
| B | drawings | sales |
| C | purchases | sales |
| D | sales | purchases |
- 11 Which item is revenue expenditure?
- A cost of painting new office building
 - B cost of repairs to office equipment
 - C legal costs for the purchase of a new building
 - D wages of workers constructing extension to workshop

- 12 A business purchased a new computer and the purchase invoice showed the following details:

	\$
purchase price	2 000
delivery charge	160
installation fee	25
computer stationery	15

How much should be debited to the computer account?

- A \$2 000
 B \$2 160
 C \$2 185
 D \$2 200
- 13 The entries for loan interest paid are

	Debit	Credit
A	bank account	loan account.
B	bank account	loan interest account.
C	loan account	bank account.
D	loan interest account	bank account.

- 14 Which error is revealed by a trial balance?

- A A cash payment of \$24 for electricity was entered in the books as \$42.
 B Bad debts written off were not recorded.
 C Goods sold to Taurai were entered in Tendai's account.
 D The sales journal was undercast by \$100.

- 15 An account that is prepared to help locate errors in individual ledgers is called a

- A control account.
 B debtor's account.
 C purchases account.
 D sales account.

- 16 A sale of machinery for \$3 000 cash is credited to the sales account.

This is an error of

- A commission.
 B original entry.
 C principle.
 D transposition.

17 The ability of a business to meet its current liabilities can be assessed from its

- A current assets.
- B employed capital.
- C non-current assets.
- D working capital.

18 An example of a final account is the

- A appropriation account.
- B bank account.
- C capital account.
- D premises account.

19 The following account appeared in the ledger of G. Marara.

Rent and Rates Account

2013			2013		
		\$			\$
January 1	Balance b/d	400	Dec 31	Profit and loss	6 000
Jan-Dec	Cash/Bank	4 900			
Dec 31	Balance c/d	<u>700</u>			
		<u>6 000</u>			<u>6 000</u>
			2014		
			Jan 1	Balance b/d	700

Where would the balance of \$700 appear in the balance sheet?

- A current assets
- B current liabilities
- C non-current assets
- D non-current liabilities

20 When recording the sale of a fixed asset, the

- A accumulated depreciation is credited to the disposal account.
- B loss on disposal is credited to the profit and loss account.
- C profit on disposal is debited to the profit and loss account.
- D selling price is debited to the disposal account.

- 21** A fixed asset which cost \$50 000 had an accumulated depreciation of \$24 400 after three years. It was then sold for \$23 000 cash.

What was the profit or loss on disposal?

- A** \$1 400 loss
- B** \$1 400 profit
- C** \$2 600 loss
- D** \$2 600 profit

- 22** A trader provided the following information:

	\$
insurance unexpired	4 000
rent receivable prepaid	1 000
unused motor fuel	3 000
advertising owing	5 000

What is the value of current assets?

- A** \$ 5 000
- B** \$ 7 000
- C** \$ 8 000
- D** \$13 000

- 23** A debit balance in the income and expenditure account represents

- A** net loss.
- B** net profit.
- C** excess of expenditure over income.
- D** excess of income over expenditure.

- 24** Which is a current asset in the accounts of a club?

- A** accumulated fund
- B** creditors for refreshments
- C** subscriptions in advance
- D** subscriptions in arrears

- 25 The following information relates to Rujeko Social Club.

	\$
Subscriptions in arrears, 1 January 2013	1 200
Subscriptions received during the year	9 500
Subscriptions in advance, 31 December 2013	800

How much is credited to the income and expenditure account?

- A** \$ 7 500
B \$ 8 300
C \$ 9 900
D \$11 500
- 26 The business purchase account is credited with
- A** assets taken over excluding goodwill.
B assets taken over including goodwill.
C liabilities taken over.
D the agreed purchase price.
- 27 Ordinary shares differ from preference shares in that they
- A** are paid dividends first.
B are paid first on liquidation.
C carry voting rights.
D earn a fixed rate of dividend.
- 28 A trader did not keep proper books of accounts. The net profit or loss for the year is calculated as
- A** closing capital less opening capital less drawings.
B closing capital less opening capital plus drawings.
C opening capital plus drawings less closing capital.
D opening capital plus closing capital less drawings.
- 29 Shumba and Moyo are in partnership and their capital accounts show balances of \$80 000 and \$75 000 respectively. Shumba's current account has a credit balance of \$1 700 and Moyo's current account a debit balance of \$1 900.

What is the total partners' equity?

- A** \$154 800
B \$155 000
C \$155 200
D \$158 600

30 A business is insolvent if there is a

- A** credit balance in the bank account.
- B** credit balance in the capital account.
- C** debit balance in the bank account.
- D** debit balance in the capital account.

31 The following information relates to the business of A. Sithole.

	\$
Non-current assets	300 000
Current assets	120 000
Long-term liabilities	70 000
Current liabilities	40 000

C. Mapepa purchases Sithole's business for \$340 000 taking over all assets and liabilities.

What is the value of goodwill?

- A** \$ 30 000
- B** \$ 80 000
- C** \$110 000
- D** \$230 000

32 The following details were taken from the records of S. Moyo.

	\$
Creditors, 1 January 2013	18 000
Payments to creditors during the year	126 000
Discounts received	5 400
Creditors, 31 December 2013	21 600

Purchases for the year amounted to

- A** \$131 400.
- B** \$135 000.
- C** \$144 000.
- D** \$153 000.

33 Which item appears in the appropriation account of a partnership?

- A** interest on drawings
- B** interest on loan
- C** partnership's capital
- D** partnership drawings

34 The following information relates to the business of a trader.

	\$
Stock/Inventory, 1 January 2013	40 000
Sales for the year	750 000
Stock/Inventory, 31 December 2013	60 000
Margin	20%

What is the rate of stock turn?

- A** 6 times
- B** 10 times
- C** 12 times
- D** 15 times

35 The draft income statement of a business shows a net loss of \$5 700 before taking into account

- (i) a decrease in the provision for discount allowed of \$600;
- (ii) purchases overcast of \$1 800.

The corrected net loss is

- A** \$3 300.
- B** \$3 900.
- C** \$4 500.
- D** \$6 900.

36 A joint stock company issued 400 000 ordinary shares of \$1 each on 10 January 2013 and required members to pay \$0,80 per share by 31 January 2013.

What is the called up capital?

- A** \$ 80 000
- B** \$320 000
- C** \$400 000
- D** \$720 000

- 37 The double entry for production cost is

	Debit	Credit
A	manufacturing account	trading account.
B	manufacturing account	production account.
C	production account	manufacturing account.
D	trading account	manufacturing account.

- 38 The following information is provided by a trader.

	\$
total current assets	60 000
inventory/stock	10 000
total current liabilities	20 000

The acid test ratio is

- A 2: 1.
 B 3: 1.
 C 2,5: 1.
 D 3,5: 1.
- 39 A bank reconciliation statement shows a credit balance of \$4 000 in the cash book and a credit balance of \$1 000 on the bank statement. Unpresented cheques amounted to \$7 000.

What is the amount of deposits not yet credited by the bank?

- A \$ 1 000
 B \$ 2 000
 C \$ 4 000
 D \$12 000

- 40 The following account appeared in the ledger of a trader.

D. Moyo Account			
2013	\$	2013	\$
June 1 Balance b/d	1 600	June 8 Cash	1 500
5 Sales	2 800	Discount	100
18 Bank	1 800	16 Bank	1 800
		22 Furniture	<u>2 800</u>
	<u>6 200</u>		<u>6 200</u>

What does the debit entry “Bank 1 800” on 18 June represent?

- A cheque deposited at the bank
- B cheque payment by Moyo
- C cheque payment to Moyo
- D cheque returned unpaid by the bank

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Surname

Forename(s)

Centre Number

Candidate Number



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS

7112/2

PAPER 2

NOVEMBER 2016 SESSION

2 hours 30 minutes

Allow candidates 5 minutes to count pages before the examination.

TIME 2 hours 30 minutes

INSTRUCTIONS TO CANDIDATES

Check that all the pages are in the booklet and ask the invigilator for a replacement if there are duplicate or missing pages.

Write your name, (Surname and Forename(s)), Centre number and candidate number in the spaces provided at the top of this page and your Centre number and candidate number in the box at the top right hand corner of every page of this paper.

Answer **all** questions.

Write your answers in the spaces provided on the question paper.

Use black or blue ball-point pen only.

All calculations must be shown adjacent to the answer.

Calculators may be used.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

The businesses described in this paper are entirely fictitious.

This question paper consists of 20 printed pages.

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2

Answer **all** questions.

1 Thandeka and Jabulani are in partnership. Their financial year ends on 31 December.

Their partnership agreement provides for the following:

- (i) interest on drawings is allowed at 5% per annum,
- (ii) interest on capital is allowed at 10% per annum,
- (iii) Thandeka is entitled to a monthly salary of \$1 000,
- (iv) profits and losses are to be shared in the ratios of Thandeka $\frac{2}{3}$ and Jabulani $\frac{1}{3}$.

The following was their trial balance as at 31 December 2012 **after** the preparation of the Income Statement (Trading and Profit and Loss Accounts) for the year.

	Debit \$	Credit \$
Capital: Thandeka		50 000
Jabulani		30 000
Drawings: Thandeka	5 000	
Jabulani	3 000	
Current accounts: Thandeka		500
Jabulani	1 500	
Salary paid to Thandeka	7 000	
Trade receivables (Debtors)	9 500	
Trade payables (Creditors)		7 500
Net profit		25 600
Bank		1 900
Inventory (Stock) at 31 December 2012	6 000	
Cash in hand	1 200	
Vehicles, at cost	10 000	
Land and buildings, at cost	60 000	
Equipment, at cost	20 000	
Prepaid expenses	800	
Provision for depreciation on: Vehicles		2 500
Equipment		6 000
	124 000	124 000

1 You are required to prepare:

(a) the Profit and Loss Appropriation Account for the year ended 31 December 2012,

Blank lined paper for writing.

- 1 (b)** the Statement of Financial Position (Balance Sheet) as at 31 December 2012.

Show the details of the current accounts **either** within the Statement of Financial Position **or** in separate ledger accounts with the final balances shown in the Statement of Financial Position.

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1 (b)

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1 (b)

Blank lined paper for writing.

- 2** The following information was extracted from the books of Sigauke Company, a manufacturing firm, on 31 December 2011.

	\$
Inventories (Stock), at 1 January 2010:	
Raw materials	15 000
Work-in-progress	2 000
Purchases of raw materials	24 000
Indirect factory wages	1 300
Direct wages	2 400
Royalties	1 800
Depreciation on plant and machinery	700
General administration expenses	4 600
Depreciation on delivery vans	500
Inventories (Stock), at 31 December 2010:	
Raw materials	6 000
Work-in-progress	3 000

- (a) You are required to prepare the Manufacturing Account for the year ended 31 December 2011, showing clearly the **cost of raw materials consumed**, **prime cost** and **total cost of production**.

This image shows a blank sheet of white paper with horizontal blue or grey ruling lines. In the upper-left quadrant, there is a large, light-grey watermark logo. The logo consists of several geometric shapes, including triangles and rectangles, arranged to form a stylized emblem. A small registered trademark symbol (®) is located at the bottom right of the watermark. The rest of the page is empty except for the ruling lines.

2 (a)

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[12]

- 2 (b) S. Mhlanga maintains a provision for doubtful debts of 6% on debtors at the end of the financial period. The year ends on 31 December.

- On 1 January 2007, the provision for bad debts amounted to \$400.
- On 31 December 2007 bad debts of \$850 were written off.
- The schedule of trade receivables was as follows:

Year	\$
2007	10 850
2008	8 000
2009	12 000

You are required to prepare:

- (i) the Bad Debts Account showing the transfer to Profit and Loss Account,

[3]

- (ii) the Provision for Bad Debts Account for the three years ended 31 December 2007, 2008 and 2009 **paying special attention to dates and details.**

2 (b) (ii)

[8]

(iii) the Income Statement (Profit and Loss Account) extracts for 2007 and 2008.

[2]

- 3 (a)** Muwani Stores has two departments, Electrical and Clothing. The following information was available for the year ended 31 December 2012.

	Electrical \$	Clothing \$
Inventory (Stock) on:		
1 January 2012	6 000	1 600
31 December 2012	2 500	2 400
Purchases	20 000	8 500
Customs duty	1 000	
Railage inwards	500	300
Sales	35 000	12 000

You are required to:

- (i) prepare the Departmental Trading Account for the year ended 31 December 2012 in **columnar form**, showing clearly the gross profit or loss for **each** department.

[illegible]

3 (a) (i)

[9]

(ii) calculate the percentage mark up for each department.

[2]

(iii) calculate the rate of turnover for Clothing department.

- 3 (b) The following trial balance was prepared by a junior clerk for the business of M. Gumbo.

Trial balance as at 31 October 2012.

	Debit \$	Credit \$
Purchases	7 500	
Office furniture	5 000	
Carriage inwards	1 200	
Motor vehicles	2 000	
Sales		17 000
Trade receivables (Debtors)	1 600	
Trade payables (Creditors)		3 000
Rent	2 000	
Wages and salaries	3 200	
General expenses	1 400	
Inventory (Stock), at 1 November 2011	1 000	
Discount received		200
Carriage outwards	1 800	
Loan from T. Tsuru		800
Bank	4 000	
Drawings	1 300	
Capital		11 000
	<u>32 000</u>	<u>32 000</u>

The totals agreed, but the accountant was able to discover the following errors which the trial balance failed to disclose.

1. Amount paid for private rent \$400 was included in the Rent Account.
2. Cost of carrying goods to the customer \$100 had been debited to the Carriage Inwards Account.
3. An invoice for goods bought on credit from Desai Wholesaler was entered in both accounts as \$500 instead of \$1 500.
4. A cheque received from a customer of \$300 had been completely omitted from the books of accounts.

3 (b) (i) For each of the above items 1 to 4 state the type of error that was made.

[4]

(ii) Prepare an amended trial balance for the business at 31 October 2012 **after** correction of errors.

[illegible]

3 (b) (ii)

[illegible]

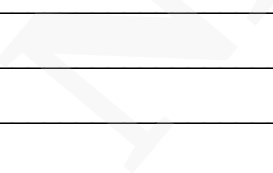
- 4 (a)** The Stars Social Club's Receipts and Payments Accounts for the year ended 31 August 2011 was as follows:

Receipts	\$	Payments	\$
Balance b/d (01/09/2010)	1 300	Rent for Clubhouse	700
Subscriptions	800	Purchase of new	
Donations	500	equipment (01/03/2011)	600
Sale of old equipment	150	Travelling expenses	60
Sale of raffle tickets	250	Secretary's expenses	140
		Raffle prizes	120
		Wages	400
		Stationery	80
		Balance c/d	900
	<u>3 000</u>		<u>3 000</u>

Additional information:

1. At 31 August 2011, members' subscriptions owing amounted to \$500 and subscriptions received in advance amounted to \$100.
2. Rent owing on 31 August 2011 amounted to \$200.
3. Depreciation on equipment is at the rate of 10% per annum on cost.
4. Stationery worth \$30 was unused at the end of the period.

You are required to prepare an Income and Expenditure Account for the year ended 31 August 2011.



4 (a)

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4 (a)

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- 4 **(b)** The following information was taken from the books of A. Phiri Ltd for the month of January 2012:

2012		\$
January 1	Purchases Ledger balances:	300 Debit
		4 500 Credit
January 31	Credit purchases	12 000
	Cash purchases	5 000
	Returns to creditors	400
	Discounts received from creditors	100
	Payments to creditors by cheque	7 000
	Provision for doubtful debts	150
	Cash refunded by creditors	200
	Set off	600
	Purchases Ledger balance	500 Debit

You are required to prepare the Purchases Ledger Control Account for the month of January 2012.

[illegible]

4 (b)

[10]



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS
PAPER 1

7112/1

NOVEMBER 2017 SESSION

1 hour 30 minutes

Additional materials:

Multiple Choice answer paper

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

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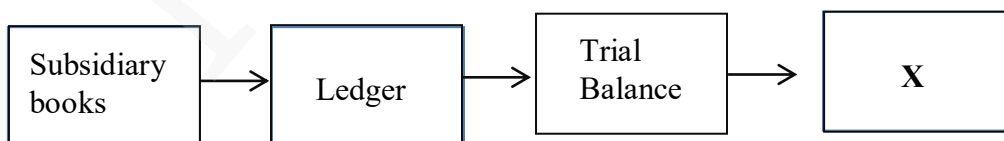
Calculators **may** be used.

This question paper consists of 12 printed pages.

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- 1 Which of the following is a measure of profitability?
- A acid test ratio
 - B net profit
 - C rate of stock turn
 - D working capital
- 2 A trader took goods at selling price for own use.
- Which account is credited?
- A drawings account.
 - B inventory account.
 - C purchases account.
 - D sales account.
- 3 A credit customer received an invoice with a total of \$2 510 instead of \$2 150.
- Which document will be used to correct the error?
- A credit note
 - B debit note
 - C receipt
 - D voucher
- 4 Which of the following affects gross profit?
- A carriage on sales
 - B discount received
 - C returns outwards
 - D salesman's commission

- 5 The following is an incomplete accounting cycle.



What does **X** represent?

- A control accounts
- B income statement
- C statement of financial position
- D suspense account

- 6 A partner is entitled to an annual salary of \$10 000. During the year he was paid \$8 000.
- The amount credited to his current account is
- A \$2 000.
 - B \$8 000.
 - C \$10 000.
 - D \$18 000.
- 7 Which of the following is entered in an updated cash book?
- A cheques not yet presented
 - B deposits not yet credited
 - C errors in the cash book
 - D errors on the bank statement
- 8 The total in the purchases returns journal is posted to the
- A credit side of returns inwards account.
 - B credit side of returns outwards account.
 - C debit side of returns inwards account.
 - D debit side of returns outwards account.
- 9 Shareholders differ from debentureholders in that they
- A are paid before debentureholders.
 - B control day to day activities of a company.
 - C do not have voting rights.
 - D earn dividends while debentureholders get interest.
- 10 The sales account was overcast by \$1 000 and the rent received account was undercast by the same amount.
- This is an example of
- A a compensating error.
 - B an error of commission.
 - C an error of complete reversal of entries
 - D an error of principle.

- 11 Identify the matching items from the following organisations.

Trading organisations

- A** cash book
B net loss
C net profit
D profit and loss account

Non-trading organisations

- income and expenditure account
 deficit
 excess of expenditure over income
 receipts and payment account

- 12 Which of the following is a nominal account?

- A** capital account
B inventory account
C premises account
D sales account

- 13 A manufacturer provided the following information:

	\$
Manufacturing wages	60 980
Cost of raw materials used	150 000
Factory power	21 500
Hire of special plant	13 020

Prime cost was

- A** \$ 202 500.
B \$ 210 980.
C \$ 224 000.
D \$ 245 500.

- 14 The following information was provided by a business.

	\$
Capital, at 1 January 2014	114 800
Net loss for the year	17 400
Additional capital	28 900
Drawings for the year	26 300

Capital on 31 December 2014 was

- A** \$ 71 100.
B \$ 100 000.
C \$ 134 800.
D \$ 152 600.

15 Why is cash discount given?

- A** for traders to make profit
- B** to encourage bulk buying
- C** to encourage prompt payment
- D** to increase sales

16 Which of the following are computer output devices?

- A** monitor and keyboard
- B** monitor and printer
- C** mouse and printer
- D** printer and keyboard

17 A trader provided the following information:

	\$
Cheques issued for advertising	9 500
Deposit from sale of furniture	20 000
Cheques received from credit customers	11 000
Cheque payments to suppliers	12 500

What is the closing bank balance?

- A** \$ 6 000 credit
- B** \$ 6 000 debit
- C** \$ 9 000 credit.
- D** \$ 9 000 debit

18 The total amount of share capital that a joint stock company is allowed to raise is known as

- A** called up share capital.
- B** issued share capital.
- C** nominal share capital.
- D** paid up share capital.

- 19 On 1 January 2014 Farai rented premises at the rate of \$7 500 per month.

The following payments were made during the year:

	\$
4 January	20 000
30 April	25 000
31 July	30 000
31 October	25 000

The profit and loss account figure for the year ended 31 December 2014 was

- A \$90 000.
 B \$92 500.
 C \$100 000.
 D \$107 500.
- 20 A cheque of \$4 000 was issued to a creditor after the preparation of a statement of financial position.
- The effect of this transaction is to
- A increase current assets.
 B increase current liabilities.
 C reduce current assets.
 D reduce non current liabilities.
- 21 Which document is a source of information for an updated cash book?
- A bank statement
 B cheque
 C receipt
 D statement of account.
- 22 Which of the following is **not** a final account?
- A appropriation account
 B manufacturing account
 C profit and loss account
 D suspense account

- 23 The cost of petrol was debited to the motor vehicles account.

The effect of this error would be to

- A overstate gross profit.
- B overstate net profit.
- C understate gross profit.
- D understate net profit.

- 24 The use of computers in the accounting system.

- A increases errors.
- B increases work loads.
- C reduces fraud.
- D saves time.

- 25 The double entry for stationery returned to Kingstons is

	debit	Credit
A	Kingstons account,	stationery account.
B	returns outwards account,	stationery account.
C	stationery account,	Kingstons account.
D	stationery account,	returns outwards account.

- 26 A trader provided the following information:

	\$
Sales	100 000
Net profit	5 000
Total expenses	15 000

The gross profit mark up was

- A $\frac{1}{3}$.
- B $\frac{1}{4}$.
- C $\frac{1}{5}$.
- D $\frac{1}{20}$.

27 Profit on the revaluation of assets is entered on the

- A credit side of the partners' current accounts
- B credit side of the revaluation account
- C debit side of the partners' capital accounts
- D debit side of the revaluation account

28 A credit sales goods for \$1 500 to J. Banda had been credited to her account in error.

To correct this error

	debit	credit
A	J. Banda account \$1 500,	suspense account \$1 500.
B	J. Banda account \$3 000,	suspense account \$3 000.
C	suspense account \$1 500,	J. Banda account \$1 500.
D	suspense account \$3 000,	J. Banda account \$3 000.

29 A cashbook had an overdraft of \$2 400. The bank statement showed:

	\$
Dividend	1 200
Ledger fees	600
Stop order (ZESA)	1 000
Dishonoured cheques	1 300

The updated cash book balance was

- A \$1 500 credit.
- B \$1 900 credit.
- C \$4 100 credit.
- D \$6 500 credit.

30 The following account was extracted from books of a trader on 31 October 2014.

Sales ledger Control Account

2014		\$	2014		\$
Oct 1	Balance b/d	20 000	Oct 31	Cash	15 000
31	Sales	105 000		Bad debts	2 000
				Sales returns	10 000

On 31 October 2014 credit customers owe the business

- A \$95 000.
- B \$98 000.
- C 105 000.
- D \$125 000.

31 Which of the following is calculated in a statement of affairs?

- A** accumulated fund
- B** bank balance
- C** credit sales
- D** surplus of income over expenditure

32 An extract from the statement of financial position of a joint company had the following information:

	\$
Issued share capital	700 000
Authorised share capital	900 000
Reserves	100 000
10 % debentures	300 000

The capital funds amounted to

- A** \$800 000.
- B** \$830 000.
- C** \$1 100 000.
- D** \$2 000 000.

33 One of the causes of physical deterioration in fixed assets is

- A** depletion.
- B** inadequacy.
- C** obsolescence.
- D** rot and decay.

34 Which of the following affects the net profit of a business?

- A** cost of extending offices
- B** cost of installing computers
- C** cost of repairing windows
- D** legal costs of acquiring land

- 35 A trader provided following information:

	\$
Inventory	17 250
Trade payables	12 050
Trade receivables	11 750
Cash in hand	1 100
Bank overdraft	1 460

What was the working capital?

- A** \$16 590
B \$17 190
C \$18 050
D \$19 510
- 36 The following rent account for the year ended 31 December 2014 was extracted from the books of a trader.

Rent Receivable Account

2014			\$	2014			\$
Dec 31	Profit and loss	8 000		Oct 11	Bank	7 000	
31	Balance c/d	3 000		Dec 31	Cash	4 000	
			<u>11 000</u>				<u>11 000</u>

Rent receivable for the period ending 31 December 2014 is

- A** \$ 3 000.
B \$ 7 000.
C \$ 8 000.
D \$11 000.

- 37 On 31 December 2014, a business had debtors of \$50 000. The business created a provision for bad debts of 5 % of debtors and a provision for discount allowed of 1 % of net debtors.

The provision for discount allowed was

- A \$ 475.
- B \$ 500.
- C \$ 2 000.
- D \$ 3 000.

- 38 The following account was extracted from the books of a company.

Provision for bad debts account

2014			\$	2014			\$
Dec 31	Balance c/d		10 000	Jan 1	Balance b/d		9 000
				Dec 31	Profit and loss		1 000
			<u>10 000</u>				<u>10 000</u>

What is meant by the entry “Profit and loss \$1 000” ?

- A bad debts recovered
 - B bad debts written off
 - C decrease in provision for bad debts
 - D increase in provision for bad debts
- 39 Which of the following is an error of complete reversal of entries?
- A A cheque of \$95 for insurance was entered as \$59 in the books.
 - B Goods bought from Tanaka were entered in Tafara’s account.
 - C Goods sold to Farai were debited in the sales account and credited in Farai’s account.
 - D Sales and purchased figures were both overcast by \$2 500.

- 40** On 1 January 2014 a company had \$25 000 in the general reserve account. On 31 December 2014, the directors agreed to increase the amount to \$30 000.

The amounts entered in the appropriation account and the statement of financial position are:

Appropriation account		Statement of financial position
A	\$5 000	\$30 000.
B	\$5 000	\$55 000.
C	\$25 000	\$30 000.
D	\$30 000	\$55 000.

Surname

Forename(s)

Centre Number

Candidate Number



For Performance Measurement

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS

7112/2

PAPER 2

NOVEMBER 2017 SESSION

2 hours 30 minutes

Allow candidates 5 minutes to count pages before the examination.

TIME 2 hours 30 minutes

INSTRUCTIONS TO CANDIDATES

Check that all the pages are in the booklet and ask the invigilator for a replacement if there are duplicate or missing pages.

Write your name, (Surname and Forename(s)), Centre number and candidate number in the spaces provided at the top of this page and your Centre number and candidate number in the box at the top right hand corner of every page of this paper.

Answer **all** questions.

Write your answers in the spaces provided on the question paper.

Use black or blue ball-point pen only.

All calculations must be shown adjacent to the answer.

Calculators may be used.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

The businesses described in this paper are entirely fictitious.

This question paper consists of 20 printed pages.

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2

Fruit Juice Manufacturing Company manufactures drinks and buys some from other suppliers. The following balances were extracted from the books on 30 June 2014.

	\$
Inventory, 1 July 2013:	
Raw materials	4 050
Work-in-progress	3 000
Finished goods	4 750
Purchases of finished goods	10 000
Capital	60 000
Drawings	2 000
Purchases of raw materials	37 500
Manufacturing wages	16 000
Indirect factory expenses	24 650
Administrative expenses	19 400
Selling expenses	8 850
Premises	65 000
Plant and machinery, at cost	22 500
Provision for depreciation on plant and machinery, 1 July 2013	9 000
Trade receivables	6 000
Provision for bad and doubtful debts, 1 July 2013	250
Trade payables	4 000
Bank	1 400
Carriage inwards	350
Cash in hand	200
Sales	149 600

Additional information:

1. Inventory, 30 June 2014:

Raw materials	\$ 4 600
Work in progress	\$ 2 700
Finished goods	\$ 5 100
2. Selling expenses owing on 30 June 2014 totalled \$ 250.
3. Included in the administrative expenses is unused stationery valued at \$ 400, on 30 June 2014.
4. The item 'carriage inwards' includes carriage on raw materials valued at \$150.
5. Depreciation on plant and machinery is provided for a 20 % per annum on cost.
6. The provision for bad and doubtful debts is to be adjusted to 5 % of trade receivables.
7. The factory supervisor's salary amounting to \$2 590 is owing on 30 June 2014. The supervisor's salary is included in the indirect factory expenses.

1 Prepare:

(a) the Manufacturing Account for the year ended 30 June 2014.

NEWTON

1 **(b)** the Income Statement for the year ended 30 June 2014.

NEWTON

_[10]

- 2 (a) M. Mwaera extracted a trial balance whose totals disagreed. The difference was transferred to the Suspense Account. Further investigations revealed the following:
- (i) A payment by cash from S. Sibasa, a debtor, was correctly entered in the cash book as \$ 740 but had been posted to Sibasa's Account as \$ 704.
 - (ii) Goods bought on credit from J. Jasten for \$ 400 had been posted in error to J. Jordan's Account, another creditor.
 - (iii) A duplicating machine worth \$2 400 bought for resale, was wrongly posted to the Office Machinery Account.
 - (iv) No entry had been made in the books concerning commission received in cash amounting to \$250.
 - (v) Returns inwards of \$ 130 had been posted to the credit side of the Returns Outwards Account.
- (a) Prepare journal entries to correct the above errors.

NB: Narrations are not required.

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- 2 (b) The following is a summary of T. Thandi's Cash Book (bank columns only) for the month of December 2013:

Balance b/d	\$ 510	Payments	\$ 7 842
Receipts	9 456	Balance c/d	2 124
	9 966		9 966

The cash book balance differed from that on the bank statement for the same month. After checking through the books, the following discrepancies were found:

1. Cheques drawn amounting to \$ 835 had not been presented to the bank for payment.
2. Total cash and cheques amounting to \$1 260 deposited into the bank had not been credited by the bank by 31 December 2013.
3. The bank statement showed some ledger fees totalling \$ 75.
4. No entry had been made in the books with regards to a dishonoured cheque of \$ 599 from B. Barbra.
5. The bank had wrongly credited Thandi's bank account with a deposit of \$ 250 made by another client, T. Thandaza.
6. Thandi's bookkeeper entered a payment of \$ 255 to F. Funny, a creditor, as a receipt in the cash book.

2

(b)

(i)

Prepare an updated Cash Book.

[5]

2

(b)

(ii)

Prepare a statement to reconcile the bank statement balance with the cash book bank balance.

[8]

- 3 (a) The following trial balance of Z. Zijena was prepared by an inexperienced bookkeeper.

Trial Balance As At 30 June 2015.

	DEBIT \$	CREDIT \$
Premises	1 000 000	
Capital		908 000
Machinery, at cost	180 000	
Provision for depreciation on machinery	18 000	
Inventory, 30 June 2015	22 000	
Sales		192 000
Sales returns		8 000
Discount received	4 000	
Discount allowed		2 400
Purchases	120 000	
Purchases returns	12 000	
Carriage on purchases		3 600
Carriage on sales		10 000
Trade receivables		24 000
Provision for bad and doubtful debts		1 000
Bad debts	2 000	
Trade payables		16 000
Mortgage loan – T. Tatenda		200 000
Interest on loan	20 000	
Commission received		25 000
Inventory, 1 July 2014	6 000	
Suspense	6 000	
	1 390 000	1 390 000

3 (a) (i) Prepare a corrected trial balance as at 30 June 2015.

NEWTON

Blank lined paper with a faint 'FOIN' watermark.

3 (a) (ii) State two errors which are revealed by a trial balance.

[illegible]

3 (b) The following information appeared in the books of C. Caleb, a sole trader on 31 March 2015:

Insurance account	\$ 300 DR
-------------------	-----------

During the year ended 31 March 2016, the following transactions relating to the Insurance Account took place.

- (i) Insurance paid by cash amounted to \$ 600.
- (ii) The business paid insurance amounting to \$ 540 by cheque. Included in this figure is \$ 180 for the three months to 30 June 2016.

Prepare and balance the Insurance Account as at 31 March 2015.

Blank lined paper with a faint watermark reading 'NEW' diagonally across the page.

- 3 (c)** The Hlanganani Women's Club buys and sells refreshments as an ancillary activity. The following information relates to the year ended 31 December 2016:

	\$
Sales of refreshments	5 400
Purchases of refreshments	3 000
Wages paid to staff selling the refreshments	1 200
Closing inventory of refreshments	600

Prepare the Refreshments Trading Account for the year ended 31 December 2016.

Blank lined paper with a faint 'NEWTON' watermark.

[4]

- 3 (d) The following table relates to four assets numbered 1 to 4. Fill in the missing figures numbered (i) to (v)

	Non-current asset at cost	Residual (Scrap) value	Estimated life in years	Depreciation	Net Book Value
	\$	\$		\$	\$
1.	25 000	5 000	5	(i) _____	(ii) _____
2.	70 000	6 000	(iii) _____	8 000	62 000
3.	(iv) _____	3 000	7	11 000	69 000
4.	45 000	(v) _____	10	4 000	41 000

[5]

- 4 (a) Zambezi Ltd had the following details from its books for the year ended 31 December 2015:

Authorised Capital	\$
1 000 000 Ordinary shares of 50 cents each	500 000
300 000, 6 % Preference shares of \$1 each	300 000
Issued Capital	
600 000 Ordinary shares of 50 cents each, fully paid	300 000
150 000, 6 % Preference shares of \$1 each, fully paid	150 000
Reserves	
General reserve	20 000
Profit and Loss Account, 1 January 2015	40 000
1 000, 10 % Debentures of \$ 100 each	100 000

The net trading profit before allowing for debenture interest was \$ 240 000. An interim dividend of 3 cents per ordinary share and half of the preference share dividend had been paid during the year.

- 4 (a)** At the end of the year, the directors recommended the following:
- (i) General reserve be increased to \$ 50 000.
 - (ii) a final dividend be paid to preference shareholders.
 - (iii) a final dividend of 10 % on ordinary shares be paid.

Prepare the Profit and Loss Appropriation Account for the year ended 31 December 2015.

NEWTON

- 4 (b) On 30 June 2016, the Statement of Financial Position of T. Phiri was as follows:

Assets		
Non-Current Assets	\$	\$
Land and buildings		75 000
Motor van		<u>25 000</u>
		100 000
Current Assets		
Inventory	15 000	
Trade receivables	35 000	
Cash at bank	<u>20 000</u>	
		<u>70 000</u>
		<u>170 000</u>
Equity and Liabilities		
Capital		140 000
Current Liabilities		
Trade payables		<u>30 000</u>
		<u>170 000</u>

On 1 July 2016, the business of Phiri was taken over by Z. Zviuya for \$ 250 000. The payment was made by cheque on the same day. Zviuya agreed to take over all the assets and liabilities except cash at bank.

Valuation of some of the assets taken over was as follows:

	\$
Land and buildings	95 000
Motor vans	30 000
Inventory	10 000

Zviuya introduced \$ 500 000 of which \$ 100 000 remained as cash.

A provision for bad and doubtful debts of \$ 1 500 was created on 1 July 2016.

4 (b) (i) Calculate goodwill.

[7]

(ii) Show the opening Statement of Financial Position for Z. Zviuya.

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- 4 (c) Interest of drawings is debited to the partners (i) _____
Accounts and credited to the (ii) _____ Account. [2]

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS: 7112/1

MARKING SCHEME : NOVEMBER 2016

1	A	21	C
2	C	22	B
3	D	23	C
4	B	24	D
5	D	25	A
6	A	26	B
7	D	27	C
8	B	28	B
9	A	29	A
10	B	30	D
11	B	31	A
12	C	32	B
13	D	33	A
14	D	34	C
15	A	35	A
16	C	36	B
17	D	37	D
18	A	38	C
19	B	39	B
20	A	40	D

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

MARKING SCHEME

NOVEMBER 2016

PRINCIPLES OF ACCOUNTS 7112/2

- 1 (a) Thandeka and Jabulani's Profit and Loss Appropriation Account for the year ended 31 December 2012. (1)

	\$	\$	
Net profit b/d		25 600 (1)	
<u>Add</u> Interest on drawings:			
Thandeka		250 (1)	
Jabulani		<u>150 (1)</u>	
		26 000	
<u>Less</u> Interest on capitals:			
Thandeka	5 000 (1)		
Jabulani	3 000 (1)		
Salary:	<u>12 000 (1)</u>		
		<u>20 000</u>	
Share of profits		6 000	
Shared as: Thandeka ($\frac{2}{3}$)	4 000 (1)		
Jabulani ($\frac{1}{3}$)	<u>2 000 (1)</u>		
		<u>6 000</u>	[8]

- (b) Statement of Financial Position (Balance Sheet) as at 31 December 2012 (1).

	\$	\$	\$
<u>Non-Current Assets (Fixed) (1)</u>			
Land	60 000		60 000
Equipment	20 000	6 000 (1)	14 000
Vehicles	<u>10 000</u>	<u>2 500 (1)</u>	<u>7 500</u>
	<u>90 000</u>	<u>8 500</u>	81 500 (1) OF
Current Assets (1)			
Inventory (Stock)	6 000		
Trade receivables (Debtors)	9 500		
Expenses prepaid	800 (1)		
Cash	<u>1 200</u>		
		17 500 (1) OF	
<u>Less</u> <u>Current Liabilities (1)</u>			
Trade payables (Creditors)	7 500		
Bank overdraft	<u>1 900</u>		
		<u>9 400 (1) OF</u>	
Working capital			<u>810</u>
			<u>89 600</u>
Financed by:			
Capitals: Thandeka		50 000	
Jabulani		<u>30 000</u>	
			80 000

Current Accounts

Thandeka

Jabulani

Balances b/d	500	(1 500) (1)	
Salary	5 000 (1) MBC		
Interest on capital	5 000	3 000 (1) OF	
Share of profits	4 000	2 000 (1) OF	
	14 500	3 500	
<u>Less</u> Drawings	5 000	3 000 (1)	
	9 500	500	
<u>Less</u> Interest on drawings	250	150 (1) OF	
	9 250	350	9 600 (1)
			<u>89 600 (1) MBC</u>
			[17]
			[25]

- 2 (a) Sigauke Company: Manufacturing Account for the year ended 31 December 2011.

	\$	
Opening stock of raw materials	15 000 (1)	
<u>Add</u> Purchases of raw materials	<u>24 000 (1)</u>	
	39 000	
<u>Less</u> Closing stock of raw materials	<u>6 000 (1)</u>	
Cost of raw materials consumed	33 000 (1) MBC	
Direct wages	2 400 (1)	
Royalties	<u>1 800 (1)</u>	
Prime cost	37 200 (1) MBC	
<u>Add</u> Factory overheads		
Indirect factory wages	1 300 (1)	
Depreciation on plant and machinery	<u>700 (1)</u>	
	39 200	
<u>Add</u> Opening stock of work-in-progress	<u>2 000 (1)</u>	
	41 200	
<u>Less</u> Closing stock of work-in-progress	<u>3 000 (1)</u>	
Total cost of production c/d	<u>38 200 (1) MBC</u>	
		[12]

(b) (i)

Bad Debts Account

	\$		\$
2007		2007	
December 31 Debtors	<u>850 (1)</u>	December 31 Profit and Loss	<u>850 (1)</u> [2]

(ii) Provision for Bad Debts Account

2007		2007	
Dec 31 Balance c/d	600	Jan 1 Balance b/d	400 (1)
	<u>600</u>	Dec 31 Profit and Loss	<u>200 (1)</u> <u>600</u>
2008		2008	
Dec 31 Prof. & Loss	120 (1)	Jan 1 Balance b/d	600 (1)
31 Balance c/d	<u>480</u>		<u>600</u>
	<u>600</u>	2009	
2009		Jan 1 Balance b/d	480 (1)
Dec 31 Balance c/d	720	Dec 31 Profit and Loss	<u>240 (1)</u> <u>720</u>
	<u>720</u>	2010	
		Jan 1 Balance b/d	720
		(1) for dates	[8]

(iii) Profit and Loss Extracts for the years ended 31 December:

	\$ DR		\$ CR
2007			
Bad debts	850 (1)		
Provision for bad debts	200 (1)	2008	
		Provision for bad debts	120 (1)
			[3]
			[25]

- 3 (a) (i) Departmental Trading Account of Muwani Stores for the year ended 31 December 2012.

	Electrical Dept	Clothing Dept

	\$	\$	\$	\$
Sales		35 000		12 000 (1)
<u>Less</u> Cost of goods sold:				
Opening stock	6 000		1 600 (1)	
<u>Add</u> Purchases	20 000		8 500 (1)	
Customs duty	1 000 (1)			
Railage inwards	<u>500</u>		<u>300 (1)</u>	
	27 500		10 400	
<u>Less</u> Closing stock	<u>2 500</u>		<u>2 400 (1)</u>	
		25 000		8 000
Gross profits c/d		<u>10 000 (1)MBC</u>		<u>4 000</u> (1)MBC
			(+ 1 layout)	[9]

(ii) Mark up is $\frac{\text{Gross Profit}}{\text{Cost of Sales}} \times 100\%$

Electrical Department	Clothing Department
$\frac{10\ 000}{25\ 000} \times 100$	$\frac{4\ 000}{8\ 000} \times 100$
= 40% (1)	= 50% (1) [2]

(iii) Rate of turnover of clothing Department is

$$\frac{\text{Cost of sales}}{\text{Average stock}} = \frac{8\ 000}{(1\ 600 + 2\ 400) \div 2} \quad (1)\text{OF}$$

$$= \frac{8\ 000}{2\ 000}$$

$$= 4 \text{ times (1)MBC} \quad [2]$$

- (b) (i) 1. Error of principle (1)
2. Error of commission (1)

3. Error of original entry (1)
4. Error of omission (1) [4]

(ii) Trial Balance at 31 October 2012

	Debit \$	Credit \$
Purchases (7 500 + 1 000)	8 500 (1)	
Office furniture	5 000	
Motor vehicles	2 000	
Sales		17 000
Carriage inwards (1 200 – 100)	1 100 (1)	
Debtors (1 600 – 300)	1 300 (1)	
Creditors (3 000 + 1 000)		4 000 (1)
Rent (2 000 – 400)	1 600 (1)	
Wages and salaries	3 200	
General expenses	1 400	
Inventory (Stock)	1 000	
Discount received		200
Carriage outwards (1 800 + 100)	1 900 (1)	
Loan		800
Bank (4 000 + 300)	4 300 (1)	
Drawings (1 300 + 400)	1 700 (1)	
Capital		11 000
	<u>33 000</u>	<u>33 000</u>

[8]

[25]

- 4 (a) The Stars Social Club's Income and Expenditure Account for the year ended 31 August 2011.

--	--	--	--

Expenditure	\$	Income	\$
Rent	700 (1)	Subscriptions	800 (1)
Add owing	<u>200 (1)</u>	<u>Add Owing</u>	<u>500 (1)</u>
	900		1 300
Depreciation on equipment	30 (1)	<u>Less</u> in advance	<u>100 (1)</u>
Travelling expenses	60 (1)		1 200
Secretary expenses	140 (1)	Donations	500 (1)
Raffle prizes	120 (1)	Sale of Raffle tickets	250 (1)
Wages	400 (1)		
Stationery (80 (1) – 30 (1))	<u>50</u>		
	1 700		
Surplus c/d	<u>250 (1)</u>		
	<u>1 950</u>		<u>1 950</u>

[15]

(b)

Purchases Ledger Control Account

2012	\$	2012	\$
Jan 1 Balance b/d	300 (1)	Jan 1 Balance b/d	4 500 (1)
31 Purchases returns	400 (1)	31 Purchases	12 000 (1)
Bank	7 000 (1)	Cash refund	200 (1)
Discount received	100 (1)	Balance c/d	500 (1)
Set off	600 (1)		
Balance c/d	<u>8 800 (1)</u>		
	<u>17 200</u>		<u>17 200</u>
Feb 1 Balance b/d	500	Feb 1 Balance b/d	8 800

[10]

[25]

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS 7112/1

MARKING SCHEME NOVEMBER 2017

1.	B	21.	A
2.	D	22.	D
3.	A	23.	B
4.	C	24.	D
5.	B	25.	A
6.	A	26.	B
7.	C	27.	D
8.	B	28.	B
9.	D	29.	C
10.	A	30.	B
11.	B	31.	A
12.	D	32.	C
13.	C	33.	D
14.	B	34.	C
15.	A	35.	A
16.	B	36.	C
17.	D	37.	A
18.	C	38.	D
19.	A	39.	C
20.	C	40.	A

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

MARKING SCHEME

NOVEMBER 2017

PRINCIPLES OF ACCOUNTS 7112/2

1 (a) **Fruit Juice manufacturing Account For the year ended 30 June 2014.**

	\$	\$
Opening Inventory, Raw materials	4 050 (1)	
Purchases of raw material	37 500 (1)	
Carriage on raw materials	150 (1)	
	41 700	
less: Closing Inventory – raw materials	4 600(1)	
Cost of raw materials consumed(1)		37 100(1)mbc
Manufacturing wages		16 000(1)
Prime Cost(1)		53 100(1) mbc
Indirect factory expenses (24 650 + 2 590)		27 240(1)
Depreciations on plant & machinery		4 500(1)
Opening work-in-progress		3 000(1)
		87 840
Less: Closing inventory of work-in-progress		2 700(1)
Total Cost of production (1)		85 140(1) mbc
		[15]

(b) **Trading and Profit and Loss Account for year ended 30 June 2014**

	\$	\$
Sales		149 600 (1)
Less: Cost of sales		
Opening Inventory	4 750 (1)	
Add: Production Cost	85 140 (1) OF	
Add: Purchases of finished goods	10 000 (1)	
Add: Carriage inwards	200 (1)	
	100 090	
less: Closing Inventory	5 100	94 990
Gross profit		54 610 (1) OF
Less: Admin expenses (19 400 – 400)	19 000 (1)	
Selling expenses (8 850 +250)	9 100 (1)	
Provision for bad debts - increase	50 (1)	28 150
Net Profit		26 460 (1)

2 (a)

	DR \$	CR \$
(i) Suspense Sibasa	36 (1)	36 (1)
(ii) J. Jordan J. Jasten	400 (1)	400 (1)
(iii) Purchases Office machinery	2 400 (1)	2 400 (1)
(iv) Cash Commission received	250 (1)	250 (1)
(v) Returns inwards Returns outwards Suspense	130 (1) 130 (1)	260 (2)
OR		
Returns inwards Suspense	130 (1)	130 (1)
Returns outwards Suspense	130 (1)	130 (1)

[12]

(b) (i)

Updated Cash book

Balance b/d	\$ 2 124 (1)	Ledger fees B. Barbra	\$ 75 (1) 599 (1)
-------------	------------------------	--------------------------	--------------------------------

	Correction of error	510 (1)
	Balance c/d	940 (1)
<u>2 124</u>		<u>2 124</u>

[5]

(ii) **Bank Reconciliation Statement on 31 December 2013 (1)**

	\$
Corrected balance as per cash book (1)	940 (1) OF
Add: Deposit wrongly credited	250 (1)
	1 190
Add: Cheques not yet presented	835 (1)
	2 025
Less: Deposits not yet cleared	1 260 (1)
Balance as per Bank Statement (1)	765 (1) OF
	[8]

OR

Bank Reconciliation Statement on 31 December 2013 (1)

	\$
Balance as per Bank Statement (1)	765 (1)
Less: Deposit wrongly credited	250 (1)
	515
Add: Deposits not yet cleared	1 260 (1)
	1 775
Less: Cheques not yet presented	835 (1)
Corrected balance as per cash book (1)	940 (1) OF
	[8]

3 (a) (i) **Zijena's Trial Balance as at 30 June 2015**

	\$	\$
Premises	1 000 000	
Machinery	180 000	
Provision for depreciation on Machinery		18 000(1)
Capital		908 000
Inventory (1 July 2014)		6 000(1)
Sales		192 000
Sales returns	8 000(1)	
Discount received		4 000(1)
Discount allowed	2 400(1)	
Purchases	120 000	
Purchases returns		12 000(1)
Carriage on purchases	3 600(1)	
Carriage on sales	10 000(1)	
Trade receivables	24 000(1)	
Provisions for bad and doubtful debts		1 000

Bad debts	2 000	
Trade payables		16 000
Mortgage Loan- T. Tatenda		200 000
Interest on loan	20 000	
Commission received		25 000
	<u>1 376 000</u>	<u>1 376 000</u>

[9]

(ii) Errors revealed by a trial balance:

- Mathematical errors/ over and understating errors [1]
- Incomplete double entry [1]
- Completing double entry with different figures [1]
- Omission of a figure from the ledger accounts to the Trial balance [1]
- Any two [2]

3 (b)

Insurance Account

2015		\$	2016		\$
April 1	Balance b/d	300 (1)	March 31	Income Statement	1 260 (1)
2016				Prepayment c/d	180 (1)
March 31	Cash	600 (1)			
	Bank	540 (1)			
		<u>1 440</u>			<u>1 440</u>
April 1	Prepayment b/d	180			

[5]

(c) **Hlanganani Women's Club: Refreshments Trading Account For The Year Ended 31 December 2016.**

Sales of refreshments	\$	\$ 5 400 (1)
Less: Cost of sales		
Purchases of refreshments	3 000	
Less: Closing inventory	600	2 400 (1)
Bar Profit		3 000
Less: Staff wages		1 200 (1)
Profit from refreshments		1 800 (1)
To Income and Expenditure Account		

[4]

(d)

	Non-Current (Fixed) asset at cost	Residual Value	Estimated Life	Depreciation	Net Book Value
	\$	\$	\$	\$	\$
1	25 000	5 000	5	(i) 4 000 (1)	(ii) 21 000 (1)

2	70 000	6 000	(iii) 8 (1)	8 000	62 000
3	(iv) 80 000 (1)	3 000	7	11 000	69 000
4	45 000	(v) 5 000 (1)	10	4 000	41 000

[5]

4 (a) (i) **Zambezi Ltd: Profit and Loss Appropriation Account For The Year Ended 31 December 2015**

	\$	\$	
Net Trading profit (240 000 – 10 000)		230 000 (1)	
Less: Appropriations			
General reserve	30 000 (1)		
Interim dividends			
Ordinary shares	18 000 (1)		
Preference shares	4 500 (1)		
Final Dividends			
Ordinary shares	30 000 (1)		
Preference shares	4 500 (1)	87 000	
Retained profit from operations		143 000	
Retained profit at the beginning		40 000 (1)	
Retained profit carried forward		183 000 (1)	mbc
			[8]

Alternative presentation to answer 4 (a) (i)

Zambezi Ltd: Profit and Loss Appropriation Account For The Year Ended 31 December 2015

	\$	\$
Net Trading profit for the year		230 000 -
Add: Net profit from previous year		40 000 -
Less: Transfer to General Reserve	40 000 -	
Preference Share Dividend		
Interim	4 500 -	
Final	4 500 -	
Ordinary Share Dividend		
Interim	18 000 -	
Final	30 000 -	87 000 -
∴ Retained Net Profit		143 000 -

(b) (i) Goodwill = Business Purchase Price – Net assets taken over

$$= \$ 250\,000 - (95\,000 + 30\,000 + 10\,000 + 33\,500) - 30\,000$$

$$= \$ 250\,000 - \$ 138\,500$$

\ Goodwill = \$ 111 500 (1)

OR

Business Purchase Account

	\$	Liabilities	\$
Zviuya	250 000 (1)	Land and Building	95 000 (1)
Trade payables	30 000 (1)	Motor vans	30 000 (1)
		Inventory	10 000 (1)
		Trade receivables	33 500 (1)
		Goodwill	111 500 (1)
	280 000		280 000

[7]

Alternative presentation to answer 4 (b) (i)

Calculation of goodwill

	\$	\$
Purchase price		250 000 -
Less Net assets taken over		
Land and buildings	95 000 -	
Motor vans	30 000 -	
Stock inventory	10 000 -	
Trade receivables (35 000 – 1 500)	33 500 -	
	168 500 - (1)	
Less: Trade payables	30 000 -	138 500 -
\ Goodwill		111 500

OR

Goodwill = \$ 250 000 (1) - \$ 138 500 (5)

= \$ 111 5000 (1)

(b) (ii) Statement of Financial Position as at 1 July 2016

	\$	\$	\$
Assets			
Goodwill		111 500 (1) OF	
Land and buildings		95 000 (1) mbc	
Motor vans		30 000 (1) mbc	236 500
Current Assets			
Inventory		10 000 (1) mbc	
Trade receivables	35 000		
Less: Provision for bad debts	1 500	33 500 (1) mbc	
Bank (400 000 – 250 000)		150 000 (1) mbc	
Cash		100 000 (1) mbc	293 500
			530 000(1)mbc
Equity and Liabilities			
Capital			500 000(1) mbc
Current liability			
Trade payables			30 000
			530 000

[8]

(c) (i) Current (1)

(ii) Appropriation (1)

*****Not everything that is faced can be changed, but nothing can be changed until it is faced ***** { @Newton }